

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$119.27 ▲ 8.61%	12M Price Target \$140.00	52-Week Range \$63.52 – \$153.86	Market Cap \$107.21B
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HOOD: Tokenized Stocks + Prediction Markets = Regulatory Green Light

WHAT HAPPENED

- HOOD ripped +8.6% today, and it's not random — two regulatory dominoes fell in HOOD's favor. First, tokenized stocks got the green light (which is HOOD's whole "trade Nvidia shares on the blockchain 24/7" pitch), and second, the CFTC just made it way easier to embed prediction markets into apps — HOOD launched event contracts earlier this year and is a direct beneficiary.
- Options flow was screaming this before the pop — call volume was 3x normal on the \$113, \$116, and \$120 strikes. Someone knew, or at least strongly suspected, this was coming. Put/call of 0.31 is deeply bullish (people betting up way more than down).

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- Crypto is 30-40% of transaction revenue — if Bitcoin rolls over hard, HOOD's earnings get cut fast because retail activity dries up with it.
- Regulatory whiplash: today's tailwind is a 2028 election away from reversing. A Democratic administration could re-tighten crypto and prediction market rules overnight.
- The non-obvious one: HOOD is priced like a growth tech stock but its revenue is deeply cyclical to retail sentiment. A recession where retail investors go quiet would expose that mismatch faster than most bulls realize.

IN THE NEWS

Strategy, Circle, and Coinbase Lead Crypto Stock Rally on Tokenized Stock Approval
GuruFocus.com · 2026-09-18 16:26

Robinhood's Abhishek Fatehpuria on winning the modern financial consumer at TechCrunch Dis... TechCrunch · 2026-09-18 15:00

Why Bitcoin and Strategy Stock Are Rallying Against All the Odds Barrons.com · 2026-09-18 14:13

CFTC Makes It Easier to Put Prediction Markets in More Apps Benzinga Prediction Markets · 2026-09-18 13:59

Stocks to Watch: Nestle, Nike, Netflix The Wall Street Journal · 2026-09-18 09:28

WHAT OPTIONS TRADERS ARE DOING

Key Data

Price (USD)	\$119.27
12M Price Target	\$140.00
Upside / (Downside)	+17.4%
Market Cap	\$107.21B
FY2026E Revenue	\$4,250M
FY2027E Revenue	\$5,400M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	64.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$135.00	\$122.00	\$105.00
6 Months	\$160.00	\$135.00	\$95.00
1 Year	\$185.00	\$140.00	\$85.00
2 Years	\$240.00	\$170.00	\$75.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$600.00	\$350.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Crypto-adjacent fintech (COIN, MSTR, CRCL) — tokenization approval is a rising-tide event for anyone connecting TradFi to blockchain rails.

COOLING OFF: Traditional financials (-2.65% on the week) — legacy brokers and banks are getting disintermediated by exactly what HOOD is building.

ROTATION WATCH: Money is clearly rotating from old-school financials INTO crypto-native fintech. That's a direct tailwind for HOOD and a headwind for Schwab/IBKR.

RELATED PLAY: If tokenization is real, the infrastructure layer wins too — Coinbase (custody), Circle (stablecoin rails), and Chainlink-adjacent names benefit from the same regulatory unlock.

WHO'S WINNING IN THIS SPACE?

- CRCL (Circle): Stablecoin issuer — direct beneficiary of tokenized asset rails needing USDC for settlement.
- COIN (Coinbase): The custody and exchange backbone for tokenized securities; regulatory clarity is pure oxygen.
- MSTR (Strategy): Bitcoin proxy that rips whenever crypto sentiment flips positive.

HOOD CONTEXT: HOOD is LEADING today's move because it's the only name with mass retail distribution AND all three catalysts (crypto, prediction markets, tokenization). If this rally has legs, HOOD outperforms because it's the consumer-facing winner of the entire theme.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Not pounding the table only because the stock is up 88% off 52-week lows and some good news is priced in, but the multi-year setup is as clean as it gets.

POSITION SIZE: 3-5% — real upside but this thing can drop 20% in a week when crypto sneezes, so don't overdo it.

ENTRY POINTS: I'd add on pullbacks to \$105-110. Chasing at \$119 after an 8% pop is how you get shaken out on the first bad tape day.

TIME HORIZON: 12-24 months — the catalyst is tokenized stocks scaling to actual revenue and prediction markets hitting mainstream volume. Q4 earnings and 2027 guidance are the tell.

WHEN TO BAIL: If crypto revenue drops 30%+ QoQ, if regulators reverse on tokenization, or if the stock breaks below \$85 on heavy volume — thesis is broken.

HEDGING: Simplest hedge is buying a put option a few months out at \$100 — think of it as insurance that pays off if the stock crashes. Or pair it by shorting a legacy broker (SCHW) that loses share as HOOD wins.